

Multiple Choice (10 marks)

1. Suppose that there are only two goods: x and y . Which of the following is NOT correct?
 - (a) One can have comparative advantage in producing both goods.
 - (b) One can have both an absolute advantage and a comparative advantage in producing x .
 - (c) One can have absolute advantage and no comparative advantage in producing x .
 - (d) One can have comparative advantage and no absolute advantage in producing x .
2. The primary focus of microeconomics is
 - (a) the overall national economy and its growth.
 - (b) the impact of government regulations on businesses.
 - (c) the stock market and its fluctuations.
 - (d) the economic impact of natural disasters.
 - (e) government.
3. Which of the following is true in the long run in perfect competition?
 - (a) $P = MR = MC = ATC$
 - (b) $P = MR = MC > ATC$
 - (c) $P > MR = MC = ATC$
 - (d) $P = MR > MC = ATC$
4. If technology makes production less expensive and at the same time exports decrease which of the following will result with certainty?
 - (a) Real GDP will decrease.
 - (b) The unemployment rate will increase.
 - (c) The country's trade balance will worsen.
 - (d) The interest rate will decrease.
 - (e) The price level will increase.
5. Consider a series that follows an MA(1) with zero mean and a moving average coefficient of 0.4. What is the value of the autocovariance at lag 1?
 - (a) 1
 - (b) 2

- (c) -0.4
- (d) The autocovariance at lag 1 is undefined for an MA(1) series.
- (e) 0.2

True / False (10 marks)

Answer True or False

6. True or False: Increasing government spending without changing taxes can stimulate real GDP growth while minimizing inflationary pressure.
7. True or False: Economic stabilization policy operates without any time-lags, allowing immediate effects on economic conditions.
8. True or False: An autonomous increase in spending refers to total spending that occurs independently of any changes in income levels.
9. True or False: A decrease in the number of firms in a market will lead to a rightward shift in the labor demand curve.
10. True or False: Higher unemployment rates in the United States typically lead to the appreciation of the U.S. dollar relative to the Chinese yuan.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the significance of the principle of diminishing returns in growth theory, particularly in relation to capital accumulation and population growth's impact on output.
12. Discuss how to calculate the reserve ratio for a bank with 500 in checking deposits and a required reserve. Additionally, analyze the implications of having \$475 in excess reserves.

End of Paper